

# Berkshire Hathaway Inc. (BRK-B.US)

Financial Services · Insurance - Diversified

Large Cap (>\$200B) · Report Date: June 12, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-06-12

## OVERWEIGHT

Blended Target: \$520.33

DCF + Comps + Analyst (see cross-check table)

Implied upside: +6.7%

Price (Jun): \$487.76

### INVESTMENT HIGHLIGHTS

- **OVERWEIGHT** — blended target \$520.33 (+6.7% vs \$487.76); analyst-led valuation after outlier checks.
- Declining revenue; healthy margins; conservative balance sheet; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps and analyst consensus where shown.

### INVESTMENT THESIS / EXECUTIVE SUMMARY

Berkshire Hathaway Inc. (BRK-B) — Financial Services. Berkshire Hathaway Inc., together with its subsidiaries, engages in the insurance, freight rail transportation, and utility businesses. The company provides... **OVERWEIGHT** rating; blended target \$520.33. See Investment Highlights above and valuation cross-check on page 2.

### KEY DATA & MARKET HIGHLIGHTS

| Item          | Value               | Item         | Value    |
|---------------|---------------------|--------------|----------|
| Market Cap    | \$1.05T             | Shares Out.  | 1398.3M  |
| 52-Week Range | \$455.19 – \$516.85 | P/E (TTM)    | 14.5x    |
| P/B           | 0.0x                | Beta         | 0.62     |
| Avg Volume    | 4.86M               | Analyst Rec. | Buy      |
| Revenue (TTM) | \$410.52B           | Rev Growth   | -3.2%    |
| Op. Margin    | 14.4%               | FCF (TTM)    | \$25.04B |



### FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

| Metric                  | FY 2024A | FY 2025A | FY 2026E | FY 2027E | FY 2028E |
|-------------------------|----------|----------|----------|----------|----------|
| Revenue (\$M)           | 424,232  | 410,522  | 397,255  | 391,248  | 390,041  |
| Revenue Growth (%)      | N/A      | -3.2%    | -3.2%    | -1.5%    | -0.3%    |
| Net Income (\$M)        | 88,995   | 66,968   | 64,804   | 63,824   | 63,627   |
| Net Income Growth (%)   | N/A      | -24.8%   | -3.2%    | -1.5%    | -0.3%    |
| Gross Margin (%)        | N/A      | N/A      | 27.8%    | 27.8%    | 27.8%    |
| Net Margin (%)          | 21.0%    | 16.3%    | 16.3%    | 16.3%    | 16.3%    |
| ROE (%)                 | 13.7%    | 9.3%     | 9.0%     | 8.1%     | 7.7%     |
| EPS (\$)                | 63.64    | 47.89    | 46.34    | 45.64    | 45.50    |
| Book Value / Share (\$) | 464.40   | 513.06   | 513.06   | 565.65   | 593.93   |
| P/E (x)                 | 7.66     | 10.18    | 10.52    | 10.69    | 10.72    |
| P/B (x)                 | 1.05     | 0.95     | 0.95     | 0.86     | 0.82     |
| Dividend Yield (%)      | N/A      | N/A      | N/A      | N/A      | N/A      |

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VALUATION CROSS-CHECK

| Valuation Method                              | Implied Price | vs. Current | Weight in Target | Notes                                            |
|-----------------------------------------------|---------------|-------------|------------------|--------------------------------------------------|
| DCF (Simon FCFE)                              | \$567.00      | +16.2%      | 0% (excluded)    | DCF diverges >55% below comparable-implied value |
| Comps — P/E (peer median)                     | \$931.47      | +91.0%      | —                | Peer median P/E 27.7x                            |
| Comps — EV/EBITDA (peer median)               | \$2196.24     | +350.3%     | —                | Peer median 26.7x                                |
| Comps — P/S (peer median)                     | \$3073.26     | +530.1%     | —                | Peer median P/S 10.5x                            |
| Comps — Blended (avg. of available multiples) | \$2066.99     | +323.8%     | 0% (excluded)    | Diverges above other methods (397% of median)    |
| Analyst consensus (Yahoo Finance)             | \$520.33      | +6.7%       | 100%             | Included in blend                                |
| Blended target (weighted)                     | \$520.33      | +6.7%       | 100%             | Analyst 100%                                     |

DCF VALUATION SUMMARY (SIMON FCFE)

| Item                | Value     |
|---------------------|-----------|
| Ke (cost of equity) | 7.50%     |
| Terminal g          | 4.00%     |
| FCFE growth         | 4.59%     |
| Base FCFE           | \$25.04B  |
| PV explicit (5Y)    | \$115.41B |
| PV terminal         | \$648.78B |
| Equity value (adj.) | \$792.85B |
| Implied price       | \$567.00  |
| vs. current         | +16.2%    |

INDUSTRY ANALYSIS

1. Industry Overview

Berkshire Hathaway Inc., together with its subsidiaries, engages in the insurance, freight rail transportation, and utility businesses. The company provides property, casualty, life, accident, and health insurance and reinsurance; operates railroad systems in North America; generates, transmits, stores, and distributes electricity from natural gas, coal, wind, solar, hydroelectric, nuclear,...

2. Key Trends

- Revenue contraction (-3.2% YoY)
- Healthy operating margins (14.4%)
- Defensive profile (β=0.62)
- Sector: Financial Services | Industry: Insurance - Diversified

3. Risk Factors

- Standard sector cyclicity and macro exposure

COMPETITOR ANALYSIS

| Ticker | Company                | Market Cap | P/E   | EV/EBITDA | Net Margin | Rev Growth |
|--------|------------------------|------------|-------|-----------|------------|------------|
| NVDA   | NVIDIA Corporation     | \$4.98T    | 31.4x | 29.7x     | 63.0%      | +85.2%     |
| GOOGL  | Alphabet Inc.          | \$4.42T    | 27.7x | 26.7x     | 37.9%      | +21.8%     |
| AAPL   | Apple Inc.             | \$4.28T    | 35.3x | 27.2x     | 27.2%      | +16.6%     |
| MSFT   | Microsoft Corporation  | \$2.88T    | 23.1x | 16.0x     | 39.3%      | +18.3%     |
| BRK-B* | Berkshire Hathaway Inc | \$1.05T    | 14.5x | -2.2x     | 19.3%      | -3.2%      |

\* Subject company. Trades at a discount on p/e vs peers; below-peer profitability. Declining revenue; healthy margins; conservative balance sheet; positive fcf generation. Source: Yahoo Finance. Not investment advice.